

of them only backup a certain portion of the wallet which means when they are recovered you might not get your complete balance back. This is part of the privacy feature that certain clients have, so they only backup those transactions which are labelled as public. Another common feature that most web services now offer is the ability to sync your wallet with Dropbox or similar services. This way your wallet is synchronised after every transaction. It would be wise to have more than one backup service attached to your account. Finally, you should encrypt your wallet which is also offered by many services. MtGox doesn't allow you to buy or sell without attaching a security service to your account. Google's Authenticator is widely supported so you can have two step authentication with each wallet. Finally, having a CD/DVD/USB flash drive is also recommended for regular backups. We do understand how tedious the entire process becomes when you have a multitude of backups to take after each transaction but it's all in your favour.

4. Multisignature

At its core the Bitcoin protocol makes use of two keys – a public key and a private key. When you need to make transactions these keys come into play. Now the Bitcoin protocol allows for more than one person's digital keys to be required for each transaction. Think of it like a joint bank account where more than one person has to sign the cheque. So you can choose if a minimum of 2 or 3 signatories are needed per transaction.

5. Hardware wallets

These should be the epitome of security but they don't exist at the moment. They are designed to be a wallet and do nothing else, since that makes it a single purpose entity, the chances of breaking the system is minimal.

6. Succession

Wallets can easily be entrusted to others and if you forget your password then the other person might be able to remember it. This also helps if under any circumstances the owner were to be no longer able to operate the wallet then a successor could take over. Memorising the password has always been a good strategy but in this case forgetting the password gives you no means to recover the wallet.

Anonymity

Bitcoin is not anonymous. We've mentioned this before that every single